

more than 10%. Even though the 10% move is small, the failure rate is high.

Stop location. See [Table 53.7](#) for the risk of using a stop. Other types of stops may work better, such as placing a stop below a minor low (for an upward breakout) or using a volatility stop (the stop location is based on how volatile the stock is).

Low-priced stocks tend to be more volatile than high-priced ones, so stops should be located farther away for low-priced stocks. What are low-priced stocks? Answer: Those trading below \$10 a share (or even \$20 a share).

Avoid trading. With such poor performance coming from roof patterns, perhaps you should not trade these at all, especially because they are rare. However, you may wish to experiment with them. Perhaps you can improve performance by seeing where in the price trend they work best and avoid setups where roofs have failed in the past. I've always found it valuable to search for the same pattern in the same stock or in stocks of the same industry. Study how they work and use that information as a buying guide.

Sample Trade

Ted is interested in the stock shown in [Figure 53.4](#) because of the roof pattern, but also because the electric utility pays a dividend. Although he knows that capital gains may suffer if a company pays dividends, he likes to have the income associated with them. Dividend-paying stocks also tend to retain more of their price in down markets.

“When the stock broke out upward at A, I bought at the open the next day at 52.24. Quick as a bunny, I set a stop a penny below the bottom of the chart pattern [51.34 (B)].”

The stock climbed but soon rounded over and returned to the breakout price. “That’s a throwback,” he said and pointed to C. Fortunately, the stock only dropped to 51.81, which was above his stop price.

He calculated the height of the pattern from the peak at D (53.40) to the low at B (51.35) for a height of 2.05. That gave a target of $53.40 + 2.05$ or 55.45.